

4-7f Step 6. Total the Income Statement and Balance Sheet Columns, Compute the Net Income or Net Loss, and Complete the Spreadsheet

After the account balances are extended to the Income Statement and Balance Sheet columns, each of the columns is totaled. The difference between the two Income Statement column totals is the amount of the net income or the net loss for the period. This difference (net income or net loss) will also be the difference between the two Balance Sheet column totals.

If the Income Statement Credit column total (total revenue) is greater than the Income Statement Debit column total (total expenses), the difference is the net income. If the Income Statement Debit column total is greater than the Income Statement Credit column total, the difference is a net loss.

As shown in [Exhibit 25](#), the total of the Income Statement Credit column is \$16,960, and the total of the Income Statement Debit column is \$9,855. Thus, the net income for NetSolutions is \$7,105, computed as follows:

Total of Income Statement Credit column (revenues)	\$16,960
Total of Income Statement Debit column (expenses)	(9,855)
Net income (excess of revenues over expenses)	<u>\$ 7,105</u>

Exhibit 25

Completed Spreadsheet with Net Income Shown

[illegible]

The amount of the net income, \$7,105, is entered in the Income Statement Debit column and the Balance Sheet Credit column. *Net income* is also entered in the Account Title column. Entering the net income of \$7,105 in the Balance Sheet Credit column has the effect of transferring the net balance of the revenue and expense accounts to the retained earnings account.

If there was a net loss instead of net income, the amount of the net loss would be entered in the Income Statement Credit column and the Balance Sheet Debit column. *Net loss* would also be entered in the Account Title column.

After the net income or net loss is entered on the spreadsheet, the Income Statement and Balance Sheet columns are totaled. The totals of the two Income Statement columns must now be equal. The totals of the two Balance Sheet columns must also be equal.

Chapter 4: The Accounting Cycle: 4-7f Step 6. Total the Income Statement and Balance Sheet Columns, Compute the Net Income or Net Loss, and Complete the Spreadsheet

Book Title: Financial and Managerial Accounting

Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)

© 2023 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.